

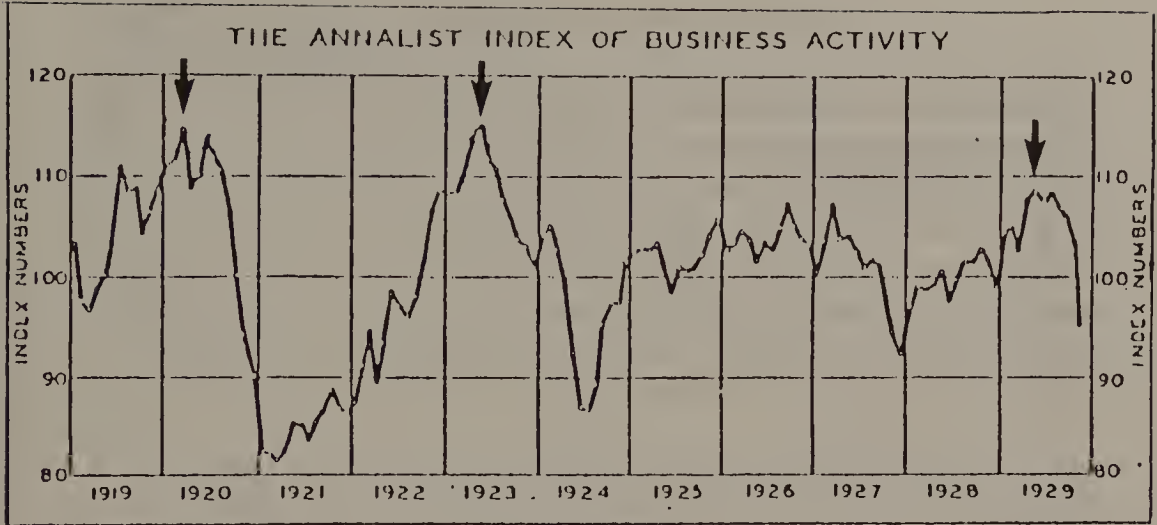


Figure 13-22

Figure 13-22 is a chart of business activity from 1919 (two years before the bull market began) to 1929 (the year of the high). It shows the same phenomenon that has occurred from 1972 (two years before the bull market began) to 1995 (our scheduled year for the top). Specifically, the peak in economic activity at the end of wave V in stocks in 1929 was *lower* than previous ones. The time element is spread out in the modern example because of the “mixed” monetary environment discussed in Chapter 14 and because this peak is one degree higher (Grand Supercycle instead of Supercycle), but the *form* of the pattern is the same. Thus, while the expansion of 1928-1929 represented the last gasp of a tiring advance that had lasted seventy years, the anemic rise in so many of these measures over the past two to four years represents the last gasp of a tiring advance that has lasted over two centuries.

An Elliott Wave Analysis of Economic Statistics

Figures 13-23 through 13-25 show the pattern in economic statistics from the low in the 1974 recession. Charts include coincident economic indicators, retail sales and durable goods sales. All show excellent five-wave advances that are nearing termination.

The sequence of lower highs shown earlier in Figures 13-4 through 13-18 reflect the *momentum* character of the Primary waves within Cycle wave V. Wave ① had a strong rate of change, wave ③ a lesser rate of change, and wave ⑤ since 1991 a weak rate of change that has set up a classic divergence against the new highs in the economic aggregates.